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22CB002 – BUSINESS STRATEGY

Department: Computer Science and Engineering
Batch/Year: 2023–2027/ VII Year CSE
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CONTENTS

S. No	Contents	Page No
1	Course Objectives	6
2	Pre Requisites	7
3	Syllabus	8
4	Course outcomes	9
5	CO- PO/PSO Mapping	10
6	Lecture Plan	11
7	Activity based learning	12
8	Lecture Notes	14
9	Assignments	38
10	Part A Questions & Answers	39
11	Part B Questions	43
12	Supportive online Certification courses	44
13	Real time Applications	45
14	Contents beyond the Syllabus	46
15	Assessment Schedule	47
16	Prescribed Text Books & Reference Books	48
17	Mini Project Suggestions	49
18	AI Based Examples	51

1. Course Objectives

The Course will enable learners to:

- Determine the concept and process of strategic management.
- Analyze the internal and external environment.
- Formulation of strategies, implementation and evaluation of strategies
- Case studies and latest business events to understand business strategies

2. Pre – Requisites

1. Basic understanding of management principles, business environment, and analytical thinking skills.

22CB002	BUSINESS STRATEGY	L	T	P	C
	Curriculum And Syllabus	3	0	0	3

OBJECTIVES:

The Course will enable learnersto:

- **Determinethe conceptand processof strategicmanagement.**
- **Analyzethe internal and externalenvironment.**
- **Formulation of strategies,implementation and evaluation of strategies.**
- **The coursewill covercase studies and latestbusiness events.**

UNIT I	INTRODUCTIONTO STRATEGICMANAGEMENT	9

Importance of Strategic Management - Vision and Objectives - Schools of thought in Strategic Management- Strategy Content, Process, and Practice- Fit Concept and Configuration Perspectivein StrategicManagement

UNIT II	INTERNAL ENVIRONMENTOF FIRM- RECOGNIZING A FIRM'S INTELLECTUAL ASSETS	9

Core Competence as the Root of Competitive Advantage - Sources of Sustained Competitive Advantage - Business Processes and Capabilities-based Approach to Strategy

UNIT III	EXTERNAL ENVIRONMENTSOF FIRM- COMPETITIVESTRATEGY	9

Five Forces of Industry Attractiveness that Shape Strategy - The concept of Strategic Groups, and Industry Life Cycle - Generic Strategies - Generic Strategies and the Value Chain

UNIT IV	CORPORATE STRATEGY, AND GROWTH STRATEGIES	9

The Motive for Diversification - Related and Unrelated Diversification - Business Portfolio Analysis - Expansion, Integration and Diversification - StrategicAlliances, Joint Ventures,and Mergers & Acquisitions.

UNIT V	STRATEGY IMPLEMENTATION:STRUCTURE AND SYSTEMS	9

The 7S Framework- StrategicControl and CorporateGovernance

TOTAL: 45 PERIODS

4. Course outcomes

Upon completion of the course, thestudents will be able to:

CO1: Become familiar with both internal and external environment.They would also become familiar with corporate and growth strategies, appreciate implementation of such strategies

CO2: Learn the fundamental concepts of strategic management to analyse businesssituations and apply these concepts to solve business problems.

CO3: Understand the fundamental principles of and interrelationships among business functions such as: R&D,production, marketing, finance, and HR and information technology.

CO4: Apply the inter-relationships of business to individuals, otherorganizations, government and society.

CO5: Analyze complex, unstructured qualitative and quantitative problems, usingappropriate tools.

5. CO- PO/PSO Mapping

Course Out Comes	Level of CO	Program Outcomes												Program Specific Outcomes		
		PO1	PO2	PO3	PO4	PO5	PO6	PO7	PO8	PO9	PO10	PO11	PO12	PSO1	PSO2	PSO3
CO.1	K3	3	2	1	-	-	-	-	-	-	-	-	-	3	1	1
CO.2	K3	3	2	1	-	-	-	-	-	-	-	-	-	3	1	1
CO.3	K3	3	2	1	-	-	-	-	-	-	-	-	-	3	1	2
CO.4	K3	3	2	1	-	-	-	-	-	-	-	-	-	3	1	1
CO.5	K3	3	2	1	-	-	-	-	-	-	-	-	-	3	1	1

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6. LECTUREPLAN

S.No.	Topics to be covered	No. of periods	Propose d date	Actual lecture date	CO	Taxonomy level	Mode of delivery
1	The 7S Framework	3			5	K2	PPT,
2	Strategic Control	3			5	K2	Case Study
3	Corporate Governance	3			5	K3	PPT

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7. Activity based learning

Activity	Topic	Outcome
CASE STUDY ANALYSIS	Will Tesla make it?	Students will be able to understand the strategies and their importance of success
Discussion	Why few companies outsmart the others?	

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UNIT 5

The 7S Framework- Strategic Control and Corporate Governance

Introduction

While most change models focus on the strategic aspect of change management, McKinsey's 7-S Framework was centered around an organization's structure when first introduced. However, with increasing complexities & corporate expansion, change practitioners realized the importance of coordination across the entire organizational structure to achieve shared goals and find success.

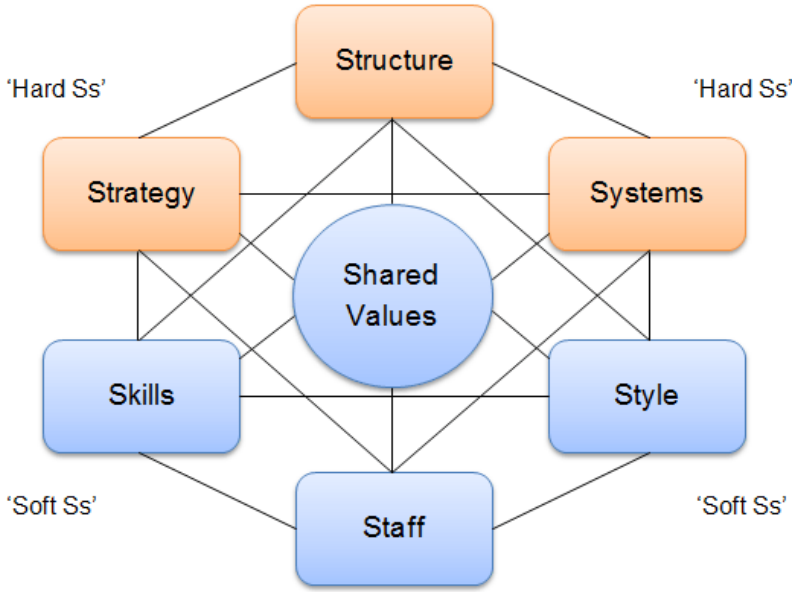
1. The McKinsey 7-S Model Framework

The McKinsey 7-S Model is a change framework based on a company's organizational design. It aims to depict how change leaders can effectively manage organizational change by strategizing around the interactions of seven key elements: structure, strategy, system, shared values, skill, style, and staff.

The model highlights that there exists a domino effect when any one element is transformed to restore effective balance. The central placement of shared values emphasizes that a strong change culture impacts all the other elements to drive change.

1. The Elements of the McKinsey 7-S Framework

The seven key elements of the McKinsey 7-S Model are:



The McKinsey 7-S Framework then categorizes these elements into two categories: hard and soft elements. Hard elements that are easily identifiable and influenced by leadership and management. Soft elements are those that are intangible and culture-driven.

1. Strategy

The strategy element is a detailed plan that organizations create for successful change implementation and to gain a competitive edge. A well-crafted strategy is aligned with the other six elements of the 7-S model and is reinforced by a strong vision, mission, and values.

2. Structure

Structure or organizational structure refers to a clear chain of command to avoid chaos & confusion. Structure is a simple yet crucial element as it creates a sense of employee accountability within the organization.

3. Systems

Systems refer to the business processes and operational procedures employed to complete a business's routine activities. An organization's SOPs consist of such practices and workflows that directly impact productivity and decision-making.

4. Shared Values

These are the core values governing an organization's health. While implementing a change, organizations expect a behavioral modification from their employees, which is only possible in a strong change culture and organizational values.

5. Style

This element refers to the management style prevalent in a company that decides the level of employee productivity and satisfaction.

6. Staff

This element represents the talent pool required, the size of the existing workforce, and their motivations. It also considers how they are trained and rewarded within the organization.

7. Skills

Skills refer to the abilities of employees to complete tasks. A study suggests that 45% of respondents reported that a skill gap caused a loss in productivity. Skills gaps overburden experienced employees who have to pick up the slack for their coworkers' inexperience. It's essential to identify the skill gaps and create relevant employee training programs to bridge these gaps.

5.1.2 Implementation of McKinsey's 7-S Model

Change agents can effectively implement the McKinsey 7-S model using a top-bottom approach.

1. Identify the Gaps and Unaligned Processes

Identify the gaps and inconsistencies in the organization's existing business processes and list out the unaligned areas, as well as what needs to change to restore the effective balance.

2. Determine the Ideal Organizational Design

This step is research-intensive and requires change leaders to find the sweet spot where management's vision of an optimal organizational design aligns well with the sentiments across the rest of the team members.

3. Create an Effective Action Plan

After identifying the outliers, change agents must create a detailed implementation plan. The action plan should include required changes to the organization's hierarchy, the communication flow, and reporting relationships, which will allow the company to achieve the desired organizational design.

4. Implement the Change

The change implementation stage is the most critical stage of any change initiative, and only well-implemented changes will avoid resistance to change and prevent overall change failures. You should identify internal change agents or hire change consultants best suited to implement your changes.

5. Maintain the Momentum with Continuous Review Processes

These seven elements are highly dynamic and change constantly. Therefore, practitioners must track these elements and their impact on one another to maintain the momentum of change.

Case study:

1. Nokia

From initially being a mobile phone industry pioneer, to drastically losing market share, and finally getting acquired by Microsoft, Nokia's journey of change failure can be explained using the 7-S framework.

Strategy: Nokia faced a dilemma and had to optimize costs and volume, enhance performance, and maximize security. Nokia opted for a cost-leadership approach and failed miserably on its innovation and performance fronts.

Structure: Nokia had a top-down line of hierarchy where employees were working in silos with limited communication. To compete with the likes of Apple, Nokia should have opted for an agile and decentralized structure, along with a collaborative approach.

Systems: Nokia considered agility and being nimble as its key competitive advantages. With a skilled workforce, Nokia was in a position to innovate its products and increase operational efficiency.

Skills: Nokia had a pool of highly-skilled engineers and initially designed highly efficient mobile phones. There wasn't any skill gap weighing them down.

Staff: During 2007-2010, Nokia surprisingly removed the CTO position from top management, leading to extremely high attrition rates. New hires weren't properly skilled, to begin with, causing the downfall of Nokia as a cutting-edge brand.

Style: Due to the low technical competence of leaders, employee morale was low. Instead of bringing in people with the right backgrounds to further company innovation and growth., Nokia needed transformational change leadership to help with technological advancement and cutting-edge designs.

Shared Values: The core values of the company enabling business performance were Respect, Achievement, Renewal, Challenge.

5.2 STRATEGIC CONTROL

Even well-thought-out strategies can go wrong as they evolve and change during their implementation period. Therefore, it's important that businesses have systems of evaluation and control in place to help monitor their performances. By establishing a

strategic control process as a part of management, organizations can rethink strategies and take immediate actions in case of undesired or unintended outcomes.

The purpose of strategic control is to steer a business toward its long-term goal by controlling its strategic direction. Strategic control definition states that the process tracks a strategy during its implementation period and detects changes or problems that may affect the outcome. It then makes adjustments to avoid such problems. Let's discuss the meaning of strategic control, the processes involved, its importance and strategic control examples.

1. **Strategic Control Meaning**
2. **Importance Of Strategic Control**
3. **The Strategic Control Process**
4. **Strategic Control Example**

Strategic control

Strategic control is a method of managing the execution of a strategic plan. It's considered unique in the management process, as it can handle the unknown and ambiguous while tracking a strategy's implementation and the subsequent results. In other words, strategic control is a way to find different methods of strategy implementation by adapting to changing external and internal factors to achieve strategic goals.

A strategy is usually implemented over a significant period of time during which two major questions are answered:

a. Is strategy implementation taking place as planned?
b. Taking the observed results into consideration, does the strategy require changes or adjustments?

"Strategic control involves the monitoring and evaluation of plans, activities, and results with a view towards future action, providing a warning signal through diagnosis of data, and triggering appropriate interventions, be they either tactical adjustment or strategic reorientation."

The strategic control is an evaluation exercise focused on achieving the strategic goals set by an organization. The process is crucial in bridging gaps and adapting to changes during the implementation period.

5.2.1 Importance Of Strategic Control

Measuring Progress : Strategic control can help measure organizational progress. As a strategy is chosen or implemented, an outcome is determined based on the likeliness. In strategic management, it's important to measure results during and after implementation. This allows timely corrective actions as well.

Feedback For Future Actions: Since strategic management is continuous, it helps in recycling actions that are essential for achieving the objectives of an organization. This acts as inputs for making adjustments and implementing them in other future processes.

Rewards And Recognition Based On Performance: A reward system based on performance that recognizes employees throughout the implementation period is crucial for performance, desired outcome and talent retention.

The purpose of strategic control is to let managers identify changes in circumstances and allow them to modify strategies.

5.2.3 The Strategic Control Process

1. **Determine What to Control:** The first step in the strategic control process is determining the major areas to control. Managers usually base their major controls on the organizational mission, goals and objectives developed during the planning process. Managers must make choices because it is expensive and virtually impossible to control every aspect of the organization's

2. **Set Control Standards:** The second step in the strategic control process is establishing standards. A control standard is a target against which subsequent performance will be compared. Standards are the criteria that enable managers to evaluate future, current, or past actions. They are measured in a variety of ways, including physical, quantitative, and qualitative terms. Five aspects of the performance can be managed and controlled: **quantity, quality, time cost,** and **behavior.**

3. **Measure Performance:** Once standards are determined, the next step is measuring performance. The actual performance must be compared to the standards. Many types of measurements taken for control purposes are based on some form of historical standard. These standards can be based on data derived from the **PIMS (profit impact of market strategy)** program, published information that is publicly available, ratings of product / service quality, innovation rates, and relative market shares standings.



4. **Compare Performance to Standards:** The comparing step determines the degree of variation between actual performance and standard. If the first two phases have been done well, the third phase of the controlling process – comparing performance with standards – should be straightforward.

5. **Determine the Reasons for the Deviations:** The fifth step of the strategic control process involves finding out: "why performance has deviated from the standards?" Causes of deviation can range from selected achieve organizational objectives. Particularly, the organization needs to ask if the deviations are due to internal shortcomings or external changes beyond the control of the organization. A general checklist such as following can be helpful:

- Are the standards appropriate for the stated objective and strategies?
- Are the objectives and corresponding still appropriate in light of the current environmental situation?
- Are the strategies for achieving the objectives still appropriate in light of the current environmental situation?
- Are the firm's organizational structure, systems (e.g., information), and resource support adequate for successfully implementing the strategies and therefore achieving the objectives?
- Are the activities being executed appropriate for achieving standard?

6. Take Corrective Action: The final step in the strategic control process is determining the need for corrective action. Managers can choose among three courses of action: (1) they can do nothing (2) they can correct the actual performance (3) they

can revise the standard. When standards are not met, managers must carefully assess the reasons why and take corrective action. Moreover, the need to check standards periodically to ensure that the standards and the associated performance measures are still relevant for the future.

Strategic control is an integral part of strategy. Without properly placed controls the strategy of the company is bound to fail. Strategic control is a tool by which companies check their internal business process and environment and ascertain their progress towards their goal.

5.2.4 Types of Strategic Control

Strategic control can be considered similar to "steering control". The strategic controls guide the organisation through the phase between the implementation of the strategy and the actual results happening. They form the basis for the organisation's strategic actions and reactions to changes which take place in its external environment. **Strategic controls are put in place by the organisation in the following ways :**

1) Premise Control : The assumptions of the planning process are set in the first stage of strategic planning. Premise control tries to examine if the assumptions which were made in the initial stages of the strategic planning exercise still hold good. Premise control basically extend to two kinds of factors :

i) The Environmental factors :
These include factors like inflation, GDP growth rates, the technology factors, the demographics and social changes

ii) The Industry factors :
These include the competitors, the suppliers, the substitutes of the company's products and the existing barriers to entry and exit.

2) Implementation Control :
Strategic implementation also provides the organisation with information regarding its overall strategy. Implementation control is that aspect of strategic control which oversees the governance of the overall decided strategy in accordance with the decided principles. It examines if the strategy needs to be changed in light of events which happen in the organisation's external environment.

Strategic implementation is totally distinct from the day to day operations control that the organisation has in place. It examines the strategy of the organisation on a continual basis Implementation control has two aspects :

i) Monitoring Strategic Thrusts :

Implementation controls can be set by the organisation through following two methods

- In the first method the organisation decides which components of the strategy (or thrusts) are critical to the success of the strategy.
- In the second method, the organisations uses stop/go evaluations of the strategy using key parameters like time, costs, research and development etc.

ii) Milestone Reviews :

The organisation also sets milestones or goals at critical junctions of the programme. The organisation reviews the progress of the strategy against these milestones and also initiates necessary course correction where the need is felt.

3) Strategic Surveillance :

The third type of strategic control is strategic surveillance. In this the organisation keeps track of a set of critical events/ activities both within and outside the organisation. These are very critical to the success of the strategy. The idea behind strategic surveillance is to encourage the general data gathering and analysis of a set of critical activities so that the organisation is not surprised by sudden occurrences in its environment. The organisation is thus prepared for the future and not prone to events which occur and take it by surprise. In a way strategic surveillance is similar to the environmental scanning aspect of strategy. The difference lies in the coverage. While environmental scanning is concerned with all events which occur in respect of the strategic planning exercise of the organisation which is done on a periodic basis, strategic surveillance concerns itself with all events which can impact the overall strategy of the organisation.

4) Special Alert Control :

The special alert control defines the rapid response and evaluation of the exiting strategy of the organisation in the face of unplanned and drastic events which take place in the firm's environment. The organisation implements special alert control by implementing contingency plans and initiating specific roles and responsibilities in the organisation to handle sudden events in the environment. This can also be considered crisis management. For example, a natural catastrophe like the Earthquake which

rocked Nepal in 2015 and to which the Government of India reacted by sending the National Disaster Relief Force to Nepal.

5) Financial Controls :

The organisation also puts into place financial controls to monitor the progress of the strategy. These controls are in the form of the performance of the organisation against set standards. Some examples of financial measures are return on equity (ROE), return on net worth (RONW), and return on assets (ROA).

6) Output Control :

In this strategic control, the strategic manager sets a target for the performance of each division, department and employee of the organisation and then compares the actual performance against the set standards. These set standards thus set goals against which the division, department and employee can be measured. These standards also set the basis on which the organisation can set the reward and incentive schemes which is used to motivate performance in the organisation. Output control flows from the divisional level to the functional and individual level. The divisional managers of the organisation set the goals and the performance targets of the functional managers. These goals are set in such a manner that the organisation can attain competitive advantage in the marketplace.

7) Behavior Control :

Behavior control visualizes the adoption of a strict system of rules and regulations to control the behavior of divisions, functions and individuals in a particular way. Employees are encouraged to get the results for the organisation but within the boundaries of the rules and regulations set. Employees thus become predictable and their efforts are accurate and easy for the organisation to measure. The way of enforcing this type of control is through operation budgets.

5.3 Corporate Governance

Corporate governance is the system of rules, practices, and processes by which a firm is directed and controlled. Corporate governance essentially involves balancing the interests of a company's many stakeholders, such as shareholders, senior management executives, customers, suppliers, financiers, the government, and the community.

Since corporate governance provides the framework for attaining a company's objectives, it encompasses practically every sphere of management, from action plans and internal controls to performance measurement and corporate disclosure.

CORPORATE GOVERNMENT OF TCS

Board of Directors - Non-Executive Board Members	
N. Chandrasekaran Chairman	Aarthi Subramanian Director
OP Bhatt Director	Dr. Pradeep Kumar Khosla Director
Hanne Birgitte Breinbjerg Sorensen Director	Don Callahan Director
Executive board members	
Rajesh Gopinathan Chief Executive Officer and Managing Director	N Ganapathy Subramaniam Chief Operating Officer and Executive Director
Committees of Board of Directors	
Audit committee	Nomination and remuneration committee
Stakeholders relationship committee	CSR committee
Executive committee	Risk management committee

- Corporate Governance Policies
- TCS Tax Strategy
- Tata Code of Conduct
- Whistle Blower Policy
- Policy on Related Party Transactions
- Policy on Material Subsidiaries
- Code of Corporate Disclosure Practices
- Policy on Determination of Materiality for Disclosures
- Authorized Key Managerial Personnel for Determination of Materiality of an Event / Information
- Policy on Archival of Documents

- Memorandum and Articles of Association
- Terms and Conditions of appointment of Independent Directors
- Familiarization Program for Independent Directors
- Modern Slavery Act
- Dividend Distribution Policy
- United Kingdom: Tax Strategy
- Nomination Form For Shareholders
- Terms Of Reference For Committees Of Board Of Directors
- Policy on Appointment of Directors and Board Diversity
- Remuneration Policy
- Policy for Prevention of Criminal Facilitation of Tax Evasion

1. Understanding Corporate Governance

- Corporate governance is the structure of rules, practices, and processes used to direct and manage a company.
- A company's board of directors is the primary force influencing corporate governance.
- Proxy advisors and shareholders are important stakeholders who can affect governance.
- Bad corporate governance can cast doubt on a company's operations and its ultimate profitability.
- Corporate governance covers the areas of environmental awareness, ethical behavior, corporate strategy, compensation, and risk management.
- The basic principles of corporate governance are accountability, transparency, fairness, responsibility, and risk management.
- Communicating a firm's corporate governance is a key component of community and investor relations.

1. Benefits of Corporate Governance

- Good corporate governance creates transparent rules and controls, provides guidance to leadership, and aligns the interests of shareholders, directors, management, and employees.
- It helps build trust with investors, the community, and public officials.
- Corporate governance can provide investors and stakeholders with a clear idea of a company's direction and business integrity.
- It promotes long-term financial viability, opportunity, and returns.
- It can facilitate the raising of capital.

- Good corporate governance can translate to rising share prices.
- It can lessen the potential for financial loss, waste, risks, and corruption.
- It is a game plan for resilience and long-term success.

3. The Principles of Corporate Governance

While there can be as many principles as a company believes make sense, some of the more well-known include the following.

Fairness: The board of directors must treat shareholders, employees, vendors, and communities fairly and with equal consideration.

Transparency: The board should provide timely, accurate, and clear information about such things as financial performance, conflicts of interest, and risks to shareholders and other stakeholders.

Risk Management: The board and management must determine risks of all kinds and how best to control them. They must act on those recommendations to manage them. They must inform all relevant parties about the existence and status of risks.

Responsibility: The board is responsible for the oversight of corporate matters and management activities. It must be aware of and support the successful, ongoing performance of the company. Part of its responsibility is to recruit and hire a CEO. It must act in the best interests of a company and its investors.

Accountability: The board must explain the purpose of a company's activities and the results of its conduct. It and company leadership are accountable for the assessment of a company's capacity, potential, and performance. It must communicate issues of importance to shareholders.

4. BOARD OF DIRECTORS

A board of directors is a panel of people elected to represent shareholders. The board is in charge of protecting shareholders' interests, establishing policies for management, oversight of the corporation or organization, and making important decisions on issues a company or organization faces.

Board of Directors and its Composition

The board of directors can be known as the brain of the company as they are responsible for taking all the big decisions and making policy changes for the company. The decisions are taken in the special meetings members of the board held together, which meeting is known as 'Board Meetings'.

Section 149(1) of the Companies Act,2013 talks about the minimum and maximum number of directors in a company. The following points are in the section:

- **The minimum number of directors in a Private Limited Company is 2;**
- **For the Public Company it is 3 directors; and,**
- **An OPC shall have a minimum of 1 director.**

However, the maximum number of directors a company have is 15. The number of directors can be raised beyond 15 by passing a special resolution in the general meeting.

Other Requirements for Composition

- The maximum number of companies that an individual can become a director of, is 20 companies.
- At least one director, who has lived in India for a minimum of 182 calendar days of the previous year, shall be appointed by every company's board. It is a mandatory rule.
- At least, a one-woman director must be there in the company.
- All listed companies must have at least one-third proportion of their board of directors as independent directors.

Structure of Board of Directors

The size of the directors has certain limits as per a company as the minimum and maximum limit in its Articles of Association. Companies commonly have 3 to 31 directors. Following are some designations and positions common to a Board of Directors in public companies:

- **Chairman of the Company**: A chairman of a company leads the board and thus heads the committee or board meetings. The chairperson is elected by the votes of the Board of Directors. Generally, the company's chief executive officer is the chairman.

- **Executive Director of the Company:** Executive director is an individual who takes active participation in the company's administration, business procedures, sales, and finances. An executive director is a part of the board and also gets a salary for the company.
- **Non-Executive Director of the Company:** A non-executive director doesn't belong to the organization but is a part of the board. Such directors provide critical opinions and advice by charging a certain fee. In addition, they give voice to stakeholders outside a firm.
- **Managing Director of the Company**: There are no restrictions on the number of directors in a company by law. A managing director is an individual whose selection is by the company's executive directors for managing, guiding, and monitoring business functioning.

Other designations in the company are: Vice Presidents, CFOs, treasurer, zonal head, vigilance chief, audit chief, etc., are some other designations common to a BOD.

Composition of Board of Directors in a Listed Company

According to Regulation 17 of Securities and Exchange of India (Listing Obligations and Disclosure Requirement) 2015, the following are the composition of the Board of Directors in a listed company:

- Board of directors shall have a mixture of executive and non-executive directors with at least one-woman director and not less than 50% of the board of directors shall constitute non-executive directors.
- If the chairperson of the board of directors is a non-executive director, then at least one-third of the board of directors shall constitute independent directors and if the listed entity has an executive chairperson, then at least half of the board of directors shall comprise of independent directors.

5.3.5 Biggest Challenges in Corporate Governance In India

Getting the board right: In India, it is a common practice that friends and family of promoters to be appointed as board members. But Innovative solutions are the need of the hour like rating board diversity and governance practices and publishing such results or using performance evaluation as a minimum benchmark for director appointment.

Performance evaluation of directors: Although performance evaluation of directors has been part of the existing legal framework in India, but it's still an issue. To achieve the desired results on governance practices, there is often a call for results of performance evaluation to be shared in public. But corporate firms to

avoid public scrutiny, negative feedback may not be shared by them sometimes.

True Independence of Directors: Independent directors have hardly been able to make the desired impact in fifteen years till now as it Independent directors' appointment was supposed to be the biggest corporate governance reform. The independence of promoter appointed as independent directors is questionable as it is unlikely that they will stand-up for minority interests against the promoter.

Removal of Independent Directors: In most of the cases, the major issue in corporate governance arises as independent directors were easily removed from their positions by the promoters if they do not side with promoters' decisions. Under law, an independent director can be easily removed by promoters or majority shareholders.

Accountability to Stakeholders: Indian company law, revamped in 2013, mandates that directors owe duties not only towards the company and shareholders but also towards the employees, community and for the protection of environment. Although, these general duties have been imposed on all directors, directors including independent directors but they disregard it easily due to lack of enforcement action.

Executive Compensation: Executive compensation is a controversial issue especially when subjected to shareholder accountability. Companies have to offer competitive compensation to attract talent. However, such executive compensation needs to stand the test of stakeholders' scrutiny.

Founders' Control and Succession Planning: In India, founders' ability to control the affairs of the company has the potential of derailing the entire corporate governance system. Unlike developed economies, in India, identity of the founder and the company is often merged.

Risk Management: The board is only playing an oversight role on the affairs of a company, framing and implementing a risk management policy is necessary. In this context, Indian company law requires the board to include a statement in its report to the shareholders indicating development and implementation of risk management policy for the company.

REAL TIME APPLICATIONS OF 7S MODEL IMPLEMENTATION

The practical applications of this model including both the failure & success of organizational change projects can be seen by studying the following corporate examples:

McDonald's

Here's how the fast-food giant leverages McKinsey's 7-S model for driving organizational change:

Strategy: McDonald's gained a significant market share through its cost-leadership approach. Additionally, it sets clear SMART goals to achieve the long-term and short-term vision.

Structure: Unlike other multinational coporations (MNCs) with complex hierarchical structures, McDonald's has a flat structure where a store manager manages its employees. Employees work as a close-knit team and have easy access to the senior management if required.

Systems: McDonald's is known for constantly innovating to reduce the wait time and make its entire production and supply chain more efficient – such as its new McDonalds app and self-ordering kiosks.

Shared Values: McDonald's aims to have a high level of integrity, serve a wide range of customers, hire employees from different backgrounds, encourage teamwork, and finally, give some profits back to the community with its core values: Serve, Inclusion, Integrity, Community, and Family.

Style: McDonald's leverages a participative leadership style where seniors engage with employees at different levels to seek their feedback to improve operations and resolve conflicts.

Staff: With over 210,000 employees, McDonald's is one of the largest employers in the world. It believes in the concept of diversity and works towards employee satisfaction.

Skills: McDonald's regularly trains its employees to provide an unparalleled customer experience and handle objections.NEW EBOOK

The seven elements- Structure, Strategy, Shared Values, Skill, System, Shared Values, Style, and Staff are highly interconnected. If change leaders fail to create a well-rounded action plan to restore the balance, a company can substantially lose out on business. At the same time, a well-implemented change effort can be rewarding.

II Corporate governance Biggest Failures of Corporate Governance in India

Harshad Mehta Scam (1992)

It is one of the most Technical Scam done with cleverness in the year 1992. The protagonist of the scam Harshad Mehta diverted bank funds worth Rs. 3500 crores to a group of stockbrokers. These funds were then put into the stock market selectively, causing it to surge to over 4500 points. The immediate impact of Harshad Mehta scam was sharp felt in share prices and indices. The market faced loss of 0.1 million crores in terms of market capitalization. This resulted in the postponing of sanctioning of Private sector Mutual Fund by SEBI. The Euro-Issues Planned by various companies were delayed due to the scam.

Ketan Parekh Scam (1999-2001)
Ketan Parekh is described as Pied Piper of Dalal Street. His financing method was very simple, he used to buy a share when they traded at a low price and when the price was high enough he pledges to share with the bank as collateral for Funds. He also borrowed funds from various companies like HCFL. The amount involved in the scam was Rs.1500 crore.

Impacts of the scam were:

- One of the biggest falls in Bombay stock exchange- 700 points.
- Short selling was banned for 6 months.
- Options and future index derivatives were introduced.

Satyam Scam (2009)
Satyam Scam took place in the year 2009 and it is regarded as "Debacle of Indian Financial System". It was one of the biggest accounting scandals where protagonist Ramalinga Raju accepted that he cooked up accounts of Satyam Computers and inflated Satyam computers bank balances and accounting entries including the amount of Rs. 8000 Crores.

PACL Scheme Scam (2015)
It was the scam of Luring near 55 million investors by the technique of raising money against bogus allotment letters. The matter involved the alleged collection of about 450 billion rupees ($6.8 billion) from roughly 55 million investors across the country.

Saradha Chit Fund Scam(2013)
It was one of the biggest Ponzi schemes about fake collective investments involving the amount of nearly Rs. 4000 crores led by Sudipta Sen. The chit fund ultimately collapsed leading to defaults after a crackdown by SEBI and the Reserve Bank of India. The default, apart from leaving small depositors high and dry, also led to 10 media terminals owned by Saradha being forced to wind up, leaving 1000 journalists jobless.

9. ASSIGNMENTS

Q. No	Questions	CT Level	BT Level
1	Explain how the **McKinsey 7S Framework** can be applied to evaluate and strengthen strategic control in an organization. Discuss the role of **Strategy, Structure, Systems, Shared Values, Style, Staff, and Skills**.	CO4	K3
2	Analyze how the **McKinsey 7S Framework** can be used to assess and improve **corporate governance practices** in an organization. Give suitable examples.	CO4	K3
3	Apply the **7S Framework** to analyze the strategic alignment and organizational effectiveness of any one reputed company. Identify the major strengths and gaps in its seven elements.	CO4	K3
4	Explain how the **7S Framework** helps organizations strengthen **strategic control and corporate governance**. Illustrate your answer with a suitable business case.	CO4	K3
5	Conduct a **case study** of an organization using the 7S Framework and evaluate its strategic control and corporate governance mechanisms. Suggest suitable measures for improving organizational performance and accountability.	CO4	K3

12. ONLINE CERTIFICATION COURSES

1. https://www.coursera.org/learn/strategic-management
2. https://www.edx.org/learn/strategic-management
3. https://onlinecourses.nptel.ac.in/noc22_mg88/preview
4. https://onlinecourses.nptel.ac.in/noc22_mg89/preview

13. Real-time applications

1.Tata Group – Strategic Control and Corporate Governance:

The 7S Framework can be applied to Tata Group to understand how **Strategy, Structure, Systems, Shared Values, Style, Staff, and Skills** are aligned to achieve effective strategic control and corporate governance. The framework helps examine how ethical values, leadership practices, organizational structure, decision-making systems, employee competencies, and governance mechanisms work together to maintain transparency, accountability, and long-term business performance.

2. Infosys – Digital Transformation and Corporate Governance:

The 7S Framework can be applied to Infosys to analyze how the organization aligns its **strategy, structure, systems, shared values, leadership style, staff, and skills** while implementing digital transformation. It demonstrates how effective governance, transparent decision-making, employee capabilities, technology-driven systems, and organizational values support strategic control, innovation, risk management, and sustainable business growth.

14. Contents beyond the Syllabus

1. Application of the 7S Framework in Digital Governance and ESG:

The 7S Framework can be extended to understand how organizations integrate Environmental, Social and Governance (ESG) principles into strategic decision-making. The seven elements can be aligned with sustainability goals, ethical leadership, stakeholder accountability, risk management, data transparency, and responsible business practices. This helps students understand how corporate governance is evolving from traditional compliance toward sustainable and socially responsible strategic management.

2. 7S Framework in Managing AI-Driven Organizational Change:

The framework can also be applied to organizations adopting Artificial Intelligence and emerging digital technologies. AI implementation requires alignment of business strategy, organizational structure, technology-based systems, employee skills, leadership style, workforce capabilities, and organizational values. This application helps students understand practical challenges such as AI governance, data privacy, ethical decision-making, employee reskilling, cybersecurity, and responsible use of AI while maintaining effective strategic control.

15. ASSESSMENT SCHEDULE

- **Tentative schedule for the Assessment During 2024-2025 Odd Semester:**

S.NO	Name of the Assessment	Start Date	End Date	Portion
1	Unit Test 1			UNIT 1
2	Internal Assessment Test 1			UNIT 1 & 2
3	Unit Test 2			UNIT 3
4	Internal Assessment Test 2			UNIT 3 & 4
5	Model Examination			ALL 5 UNITS

16. Prescribed Text Books & Reference Books

TEXT BOOKS:
1. Robert M. Grant, Contemporary StrategicManagement,Blackwell, 7th Edition, **2012.**
1. D N Dwivedi, Managerial Economics, 8th Edition,Vikas Publishing House, 2018.
REFERENCES:
1. Richard Rumelt, Competitive Advantage, 2011.
1. Kazmi, Azhar, Business Policy and Strategic Management, Third Edition,Tata McGrawhill, New Delhi, 2008.

17. Mini Project Suggestions

Q. No	Questions	CT Level	BT Level
1	**Application of the McKinsey 7S Framework for Evaluating Strategic Control and Corporate Governance:** Select an organization and analyze its Strategy, Structure, Systems, Shared Values, Style, Staff, and Skills to evaluate strategic control and corporate governance practices.	CO5	K3
2	**7S Framework Analysis of a Leading IT Company:** Select a leading IT company and apply the McKinsey 7S Framework to analyze its organizational alignment, strategic management, and effectiveness.	CO5	K3
3	**Organizational Change Management Using the McKinsey 7S Framework:** Analyze how an organization can use the seven elements of the 7S Framework to manage organizational change and overcome resistance to change.	CO5	K3
4	**Digital Transformation Through the McKinsey 7S Framework**: Examine how digital transformation influences Strategy, Structure, Systems, Shared Values, Style, Staff, and Skills in an organization.	CO5	K3

AI Based Examples

- **AI-Based 7S Analysis:**

  Use AI tools to analyze a company's Strategy, Structure, Systems, Shared Values, Style, Staff, and Skills.

- **Corporate Governance Chatbot:**

  Develop an AI chatbot that answers questions related to governance policies, ethical practices, and strategic controls.

- **AI Risk Identification:**

  Use AI to identify potential governance, financial, cybersecurity, and operational risks in an organization.

- **AI-Based SWOT and 7S Integration:**

  Use AI to combine SWOT analysis with the 7S Framework for better strategic decision-making.

- **Leadership Style Analysis:**

  Apply AI-based sentiment and communication analysis to study leadership style and its impact on organizational performance.

- **Employee Skill Gap Analysis:**

  Use AI to identify skill gaps among employees and recommend suitable training and development programs.

•**AI-Based Decision Support:**

Use AI-generated business scenarios to evaluate strategic decisions and their possible impact on organizational goals.

•**Corporate Ethics Monitoring:**

Use AI to monitor organizational policies and practices for potential ethical or compliance issues.

•**Digital Transformation Analysis:**

Apply the 7S Framework with AI to evaluate whether an organization's people, processes, technology, and strategy are aligned during digital transformation.

•**Predictive Strategic Control:**

Use AI and predictive analytics to forecast business performance, identify deviations from strategic objectives, and recommend corrective actions.

Thank you

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